# KRJP Profitability and Accuracy Update

## Jul, 2025

# Executive Summary

**#1 Projection Accuracy: KR MP PC2+SLS has been missing target for 4 months, what's causing this and how to improve?**

- **For Mar'25 to Jun'25**: major problem from PRM underprojection, which Mar'25-May'25 is from PRM method problem, Jun'25 due to heavy investment in voucher rebates which KR benefits more than CNCB, and this was not factored during projection
- **For Jul'25**: revision to PRM projection method, close to target at +0.4mil vs target

**#2 P&L profitability: Jun'25 TH/PH MP PC2+SLS was negative, to deep dive reasons and review SLS margin across mkts**

- **TH is the problematic market**: PH experienced a one-off negative, while TH has faced continuous negative P&L since Jan'25. This is due to: 1) lower commission/ads takerate compared to other KR markets, 2) significant investment in voucher rebates, and 3) lower SLS margins and profits per order due to high beauty products customs clearance cost vs other KR mkts
- **TH P&L outlook**: To improve TH KR P&L, actions could be taken on (1) base commission to increase (2) ads takerate to increase (3) improve SLS profit, however, with improvements of commission increase(1) from Aug/Sep'25, TH KR P&L is able to turn profitable, adding that KR TH seller needs to bear the high value goods tax which already have a bad seller sentiment, suggest not to adjust up the SLS hidden fee

  *>> Action required: to explore on how to improve ads takerate for KR sellers*
- **All mkts SLS margin review**: To review more holistically on KR SLS profit margin, considering UE(profit/order) contribution is comparable/better than CNCB, suggest no need to adjust SLS margin across mkts

  1) SLS UE (profit/order) higher than CNCB despite a lower/similar profit margin, this is due to KR items are normally heavier than CN

  2) adding that MP PC2/order is also higher than CNCB from better ABS, so overall KR UE is better than CNCB

# Agenda

- **KRJP P&L projection accuracy**
- **KRJP P&L profitability**
  - Negative P&L market Drill down
  - SLS P&L margin across mkts review

# #1: [KRJP] L6M projection Accuracy: KR MP PC2+SLS has been missing target for 4 months due to PRM underprojection, Jul'25 will be above target from revision of proj. method

**Table: KRJP MP PC2 + SLS actuals vs Target (Jan-Jul'25)**

| Type | Metrics | Jan'25 | Feb'25 | Mar'25 | Apr'25 | May'25 | Jun'25 | Jul'25 |
|---|---|---|---|---|---|---|---|---|
| | | *Actuals* | *Actuals* | *Actuals* | *Actuals* | *Actuals* | *Actuals* | *Projection* |
| Actuals | *MP PC2* | **1,406,315** | **1,401,613** | **1,262,005** | **1,453,516** | **1,226,466** | **717,173** | **1,065,437** |
| | *Takerate%* | 13.7% | 14.0% | 14.7% | 15.1% | 15.5% | 16.5% | 16.8% |
| | *CIR%* | -9.1% | -9.1% | -10.7% | -10.5% | -11.5% | -13.7% | -13.3% |
| | *SLS P&L* | **607,356** | **646,818** | **650,716** | **724,047** | **1,042,013** | **1,153,817** | **1,238,426** |
| | *ASF/order* | 3.60 | 3.54 | 3.62 | 3.68 | 3.72 | 3.77 | 3.89 |
| | *Cost/order* | -3.03 | -3.00 | -3.09 | -3.09 | -2.91 | -2.90 | -2.97 |
| | ***MP PC2 + SLS*** | **2,013,671** | **2,048,431** | **1,912,721** | **2,177,563** | **2,268,479** | **1,870,991** | **2,303,863** |
| Budget | *MP PC2* | **1,477,372** | **1,604,705** | **2,077,427** | **2,361,211** | **2,617,906** | **1,445,777** | **1,026,344** |
| | *Takerate%* | 12.9% | 13.9% | 14.4% | 15.5% | 15.6% | 16.9% | 16.2% |
| | *CIR%* | -8.4% | -8.4% | -8.7% | -8.9% | -8.8% | -12.5% | -13.1% |
| | *SLS P&L* | **654,406** | **431,004** | **482,697** | **588,601** | **662,517** | **765,594** | **891,473** |
| | *ASF/order* | 3.70 | 3.70 | 3.56 | 3.71 | 3.66 | 3.65 | 3.62 |
| | *Cost/order* | -3.17 | -3.24 | -3.17 | -3.21 | -3.09 | -3.01 | -2.95 |
| | ***MP PC2 + SLS*** | **2,131,778** | **2,035,709** | **2,560,124** | **2,949,812** | **3,280,423** | **2,211,371** | **1,917,817** |
| Actuals vs Budget | *MP PC2* | **-71,057** | **-203,092** | **-815,422** | **-907,695** | **-1,391,440** | **-728,604** | **39,093** |
| | *Takerate%* | 0.8% | 0.1% | 0.3% | -0.4% | -0.1% | -0.4% | 0.5% |
| | *CIR%* | -0.7% | -0.7% | 1 -2.0% | -1.6% | -2.7% | 2 -1.2% | 3 -0.2% |
| | *SLS P&L* | **-47,049** | **215,814** | **168,019** | **135,446** | **379,496** | **388,223** | **346,953** |
| | *ASF/order* | -0.10 | -0.16 | 0.07 | -0.03 | 0.07 | 0.12 | 5 0.27 |
| | *Cost/order* | 0.15 | 0.23 | 0.07 | 0.12 | 0.18 | 0.11 | 4 -0.02 |
| | ***MP PC2 + SLS*** | **-118,106** | **12,723** | **-647,403** | **-772,250** | **-1,011,944** | **-340,380** | **386,046** |

**Key Highlights:**

**MP PC2 + SLS missing target** by 0.4~1.0m since Jan'25, this is mainly from

- **[Underachieve]** MP PC2 driven by PRM inaccuracies
  1. Mar-May: did not factor in platform higher PRM plan
  2. Jun: platform heavily invest in voucher rebates, and KR enjoys more of these discount vs CNCB, despite adjust trends follow platform increase
- **[Overachieve] SLS P&L:** Largely driven by UE underprojection (ASF volumetric fluctuations, and CPO buffer of 3-5%), which we deliberately put buffer in

**Jul'25: accuracy improved, we've solved**

3. PRM proj. Method problem
4. adjust CPO buffer
5. Left with ASF buffering, will adjust once KRJP P&L accuracy stabilized

# [Backup]: KRJP PRM Inaccuracy mainly come from CIR% gap, but seeing MoM improve from Jun

***Table: KRJP PRM Inaccuracy Contribution (Jan-Jul'25)***

| Metric | | KRJP | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | | Jan 2025 | Feb 2025 | Mar 2025 | Apr 2025 | May 2025 | Jun 2025 | Jul 2025 |
| PRM | Actual | 3,715k | 3,513k | 4,796k | 4,440k | 5,304k | 6,896k | 6,442k |
| | Target | 3,615k | 3,038k | 3,915k | 3,690k | 3,983k | 5,544k | 6,546k |
| | Actual vs Target ($) | **100k** | **475k** | **882k** | **751k** | **1,321k** | **1,352k** | **(104k)** |
| | Actual vs Target (%) | **3%** | **16%** | **23%** | **20%** | **33%** | **24%** | **-2%** |
| | Contributed by GMV gap | **-5%** | **6%** | **0%** | **2%** | **2%** | **14%** | **-3%** |
| | Contributed by CIR% | **8%** | **9%** | **23%** | **19%** | **31%** | **11%** | **2%** |
| CIR% | **Actual CIR%** | **9.1%** | **9.1%** | **10.7%** | **10.5%** | **11.5%** | **13.7%** | **13.3%** |
| | Item Rebate (%) | 0.4% | 0.4% | 0.4% | 0.4% | 0.4% | 0.6% | 0.5% |
| | Logistics Rebate (%) | 1.9% | 2.0% | 2.2% | 2.2% | 2.3% | 2.5% | 2.6% |
| | Voucher Rebate (%) | 6.1% | 6.1% | 7.4% | 7.2% | 8.2% | 10.0% | 9.8% |
| | Coin Rebate (%) | 0.6% | 0.6% | 0.6% | 0.6% | 0.6% | 0.6% | 0.7% |
| | **Target CIR%** | **8.4%** | **8.4%** | **8.7%** | **8.9%** | **8.8%** | **12.5%** | **13.1%** |
| | **Actual vs Target** | **0.7%** | **0.7%** | **2.0%** | **1.6%** | **2.7%** | **1.2%** | **0.2%** |
| | **MoM changes** | | **100%** | **104%** | **102%** | **99%** | **142%** | **104%** |

**Key Highlights:**

**Bef Jun:**

- Inaccuracy mainly coming from CIR%
- Both ADG and CIR% was from KR team, did not factor in Plt/CB PRM spending change

**Improvement aft Jun:**

- Inaccuracy contributed by CIR% getting less after CBBI helped with CIR% projection starting from Jun
- Jun: CIR% contributed to 11% of inaccuracy mainly due to higher than CB Voucher Rebate MoM increase coming from TH/PH

# Agenda

- **KRJP P&L projection accuracy**
- **KRJP P&L profitability**
  - **Negative P&L market Drill down**
  - SLS P&L margin across mkts review

# #2: [KRJP] Countries' Profitability: high attention on TH, from two points 1) TH is only KR market where P&L was consistently negative L6M, PH is one time from heavy investment, …

***Table 1: KRCB MP PC2+ SLS Actuals by Mkts (Jan-Jun'25)***

| Metrics | Region | KRJP | | | | | |
|---|---|---|---|---|---|---|---|
| | | Jan 2025 | Feb 2025 | Mar 2025 | Apr 2025 | May 2025 | Jun 2025 |
| MP PC2 + SLS | **Total** | **2,013,671** | **2,048,431** | **1,912,721** | **2,177,563** | **2,268,479** | **1,870,991** |
| | SG | 939,182 | 904,019 | 958,353 | 991,357 | 1,100,021 | 1,113,984 |
| | MY | 228,433 | 298,555 | 139,041 | 224,746 | 293,419 | 304,345 |
| | TH | **-45,716** | **-60,192** | **-107,715** | **-37,170** | **-70,698** | **-195,996** 2 |
| | TW | 462,628 | 528,136 | 511,105 | 589,931 | 609,913 | 701,817 |
| | VN | 129,965 | 121,542 | 203,607 | 139,672 | 175,018 | 134,948 |
| | PH | 258,404 | 221,269 | 202,686 | 247,210 | 109,341 | **-204,343** 1 |
| | BR | 37,519 | 34,125 | 5,551 | 24,392 | 51,289 | 21,524 |
| | MX | 3,255 | 977 | 93 | **-2,575** | 176 | **-5,288** |

***Table 2: KRCB MP PC2+ SLS Actuals by Mkts (Jun'25)***

| Metrics | SG | MY | TH | TW | VN | PH | BR | MX |
|---|---|---|---|---|---|---|---|---|
| ABS | 23.0 | 24.8 | 22.7 | 43.7 | 11.6 | 20.5 | 33.9 | 28.7 |
| **Revenue (%)** | **21.3%** | **20.5%** | **15.6%** | **10.1%** | **19.1%** | **16.8%** | **7.1%** | **6.0%** |
| Commission Fee (%) | 10.3% | 11.2% | 9.0% b | 5.8% | 9.3% | 12.3% | 5.0% | 4.8% |
| *Base Commission (%)* | *10.1%* | *11.0%* | *4.9%* | *2.9%* | *8.0%* | *8.9%* | *2.6%* | *4.6%* |
| *Charged Services (%)* | *0.2%* | *0.2%* | *4.0%* | *2.9%* | *1.3%* | *3.4%* | *2.4%* | *0.2%* |
| Paid Ads (%) | 7.5% | 5.3% | 3.2% c | 2.5% | 4.2% | 2.3% | 0.7% | 0.4% |
| Marketing Packages (%) | 0.4% | 0.3% | 0.4% | 0.4% | 2.1% | 0.5% | - | - |
| Handling Fee (%) | 3.1% | 3.7% | 3.1% | 1.5% | 3.5% | 2.0% | 1.5% | 0.9% |
| **PRM (%)** | **11.6%** | **17.2%** | **19.1%** | **4.2%** | **17.7%** | **20.1%** | **6.8%** | **17.5%** |
| Item Rebate (%) | 1.2% | 0.3% | 0.2% | - | 1.5% | 0.3% | 0.0% | 3.1% |
| Logistics Rebate (%) | 2.1% | 2.9% | 0.6% | 1.7% | 3.4% | 3.1% | 5.7% | 10.6% |
| Voucher Rebate (%) | 7.3% | 13.7% | 17.5% d | 1.0% | 12.8% | 16.7% a | 0.9% | 3.7% |
| Coin Rebate (%) | 1.1% | 0.3% | 0.7% | 1.4% | 0.0% | 0.1% | 0.2% | 0.0% |
| **Gross Transaction fee (%)** | **1.7%** | **1.9%** | **1.4%** | **1.0%** | **0.7%** | **1.3%** | **1.9%** | **1.2%** |
| **MP PC2 (%)** | **8.0%** | **1.4%** | **-4.9%** | **4.9%** | **0.7%** | **-4.6%** | **-1.6%** | **-12.7%** |
| **MP PC2** | **831,365** | **103,116** | **-234,169** | **502,771** | **37,295** | **-448,113** | **-36,739** | **-38,352** |
| **SLS P&L** | **282,619** | **201,229** | **38,174** | **199,046** | **97,653** | **243,771** | **58,262** | **33,063** |
| **MP PC2+SLS P&L** | **1,113,984** | **304,345** | **-195,996** | **701,817** | **134,948** | **-204,343** | **21,524** | **-5,288** |

**Key Highlights:**

1 **PH once-off negative in Jun'25**

a Plt. spending: Voucher PRM injection in Jun and Jul

- Big sellers: Cosrx (Jun ADG 26k, ~15% of KRPH ADG) onboarded MDV (Mega Day Voucher Program) from May 21, with ~60% orders coming from MDV orders, leading to higher Voucher Rebate
- Expecting PnL to get better after less CIR% spending plan from Aug onwards

2 **TH consistently negative for L6M, driven by negative MP PC2**

b Lower Commission Charge vs rest of markets

c Lower Ads TR%: hard to increase due to less willingness from top sellers

d **PRM:** Much higher voucher rebate

# #2: [KRJP] Countries' Profitability: .. 2) vs. CNCB, TH MP PC2 + SLS UE is much lower despite a higher ABS, due to a lower base commission and ads takerate (2/2)

| | | KRJP | | | | | | CNCB | | | | | | Gap | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Metric | Jan 2025 | Feb 2025 | Mar 2025 | Apr 2025 | May 2025 | Jun 2025 | Jan 2025 | Feb 2025 | Mar 2025 | Apr 2025 | May 2025 | Jun 2025 | Jan 2025 | Feb 2025 | Mar 2025 | Apr 2025 | May 2025 | Jun 2025 |
| TH | ABS | $22.7 | $23.9 | $22.4 | $22.6 | $22.6 | $22.7 | $7.3 | $7.5 | $7.2 | $7.2 | $7.5 | $8.0 | $15.4 | $16.4 | $15.2 | $15.4 | $15.1 | $14.7 |
| | **Revenue (%)** | **12.4%** | **12.5%** | **14.1%** | **14.8%** | **15.1%** | **15.6%** | **13.0%** | **13.6%** | **16.2%** | **16.8%** | **17.1%** | **17.7%** | **-0.6%** | **-1.1%** | **-2.2%** | **-2.0%** | **-2.1%** | **-2.1%** |
| | Commission Fee (%) | 7.0% | 7.0% | 8.6% | 8.6% | 8.6% | 9.0% | 6.9% | 7.2% | 9.2% | 9.2% | 9.3% | 9.7% | 0.0% | -0.1% | -0.5% | -0.6% | -0.7% | -0.7% |
| | *Base Commission (%)* | 3.3% | 3.3% | 4.5% | 4.5% | 4.5% | 4.9% | 3.6% | 3.8% | 5.6% | 5.6% | 5.7% | 6.1% | -0.4% | -0.5% | -1.1% | -1.1% | -1.2% | -1.2% |
| | *Charged Services (%)* | 3.7% | 3.7% | 4.1% | 4.1% | 4.2% | 4.0% | 3.3% | 3.4% | 3.6% | 3.6% | 3.6% | 3.6% | 0.4% | 0.3% | 0.6% | 0.5% | 0.5% | 0.4% |
| | Paid Ads (%) | 2.5% | 2.4% | 2.5% | 3.2% | 3.2% | 3.2% | 3.4% | 3.7% | 4.2% | 4.9% | 4.9% | 5.1% | -1.0% | -1.3% | -1.7% | -1.7% | -1.7% | -1.9% |
| | Marketing Packages (%) | 0.0% | 0.2% | 0.0% | 0.0% | 0.2% | 0.4% | 0.1% | 0.1% | 0.2% | 0.1% | 0.2% | 0.2% | -0.1% | 0.0% | -0.2% | 0.0% | 0.1% | 0.2% |
| | Handling Fee (%) | 2.9% | 2.9% | 3.0% | 2.9% | 3.0% | 3.1% | 2.5% | 2.6% | 2.7% | 2.7% | 2.7% | 2.8% | 0.4% | 0.3% | 0.2% | 0.2% | 0.3% | 0.3% |
| | **PRM (%)** | **12.3%** | **12.9%** | **14.9%** | **14.4%** | **15.6%** | **19.1%** | **11.9%** | **12.5%** | **14.6%** | **14.8%** | **15.6%** | **18.3%** | **0.4%** | **0.4%** | **0.3%** | **-0.4%** | **0.0%** | **0.8%** |
| | Item Rebate (%) | 0.2% | 0.2% | 0.2% | 0.3% | 0.3% | 0.2% | 0.1% | 0.2% | 0.2% | 0.2% | 0.2% | 0.2% | 0.1% | 0.1% | 0.1% | 0.2% | 0.1% | 0.1% |
| | Logistics Rebate (%) | -0.2% | -0.2% | 0.0% | 0.3% | 0.4% | 0.6% | 4.4% | 4.3% | 5.0% | 5.7% | 5.4% | 5.1% | -4.6% | -4.5% | -5.0% | -5.4% | -5.0% | -4.5% |
| | Voucher Rebate (%) | 11.7% | 12.2% | 13.8% | 13.1% | 14.4% | 17.5% | 7.1% | 7.8% | 9.1% | 8.7% | 9.8% | 12.6% | 4.6% | 4.4% | 4.7% | 4.5% | 4.6% | 4.9% |
| | Coin Rebate (%) | 0.6% | 0.6% | 0.9% | 0.7% | 0.5% | 0.7% | 0.2% | 0.2% | 0.3% | 0.3% | 0.2% | 0.4% | 0.3% | 0.3% | 0.6% | 0.4% | 0.3% | 0.3% |
| | **Gross Transaction fee (%)** | **1.4%** | **1.4%** | **1.4%** | **1.4%** | **1.4%** | **1.4%** | **1.1%** | **1.1%** | **1.2%** | **1.2%** | **1.3%** | **1.2%** | **0.3%** | **0.3%** | **0.2%** | **0.2%** | **0.2%** | **0.2%** |
| | **MP PC2 (%)** | **-1.3%** | **-1.8%** | **-2.2%** | **-1.1%** | **-1.9%** | **-4.9%** | **0.0%** | **-0.1%** | **0.5%** | **0.7%** | **0.3%** | **-1.8%** | **-1.4%** | **-1.8%** | **-2.7%** | **-1.8%** | **-2.2%** | **-3.1%** |
| | **MP PC2/order** | **-0.37** | **-0.53** | **-0.61** | **-0.29** | **-0.53** | **-1.34** | **0.00** | **-0.01** | **0.04** | **0.06** | **0.03** | **-0.17** | **-0.37** | **-0.52** | **-0.65** | **-0.36** | **-0.56** | **-1.17** |
| | *Avg Weight per order* | 0.270 | 0.274 | 0.271 | 0.273 | 0.290 | 0.305 | 0.220 | 0.211 | 0.210 | 0.199 | 0.212 | 0.232 | 0.050 | 0.064 | 0.061 | 0.074 | 0.078 | 0.073 |
| | ***ASF/order*** | **3.12** | **3.17** | **3.34** | **3.24** | **3.38** | **3.54** | **1.31** | **1.34** | **1.34** | **1.34** | **1.38** | **1.45** | **1.81** | **1.83** | **1.99** | **1.90** | **2.01** | **2.10** |
| | ***Total Cost/order*** | **3.01** | **3.04** | **3.36** | **3.17** | **3.20** | **3.25** | **0.98** | **1.16** | **1.08** | **1.03** | **1.01** | **1.06** | **2.04** | **1.88** | **2.28** | **2.14** | **2.19** | **2.19** |
| | **SLS P&L/order** | **0.11** | **0.13** | **-0.02** | **0.07** | **0.18** | **0.30** | **0.33** | **0.18** | **0.26** | **0.31** | **0.37** | **0.39** | **-0.23** | **-0.05** | **-0.28** | **-0.24** | **-0.19** | **-0.09** |
| | **MP PC2 + SLS (%)** | **-1%** | **-1%** | **-2%** | **-1%** | **-1%** | **-4%** | **3%** | **2%** | **3%** | **3%** | **3%** | **1%** | **-4%** | **-3%** | **-5%** | **-4%** | **-5%** | **-5%** |
| | **MP PC2 + SLS/order** | **-0.30** | **-0.41** | **-0.62** | **-0.24** | **-0.40** | **-1.12** | **0.24** | **0.15** | **0.24** | **0.29** | **0.29** | **0.10** | **-0.54** | **-0.56** | **-0.86** | **-0.53** | **-0.69** | **-1.22** |

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**Key Highlights:**

**MP PC2/Order:** Despite higher ABS ($23 vs. $7), KRJP have a lower MP PC2 UE vs. CNCB

- **Revenue: Similarly, lower Commission Fee and Ads TR% (depsite increase similar p.p. as CNCB and higher growth%, the absolute takerate is still lower than CNCB)**
- **PRM:** Overall higher PRM due to higher voucher rebate spending (+4.5%), offset by less logistics rebate

**SLS P&L/order:** Despite higher weight, overall SLS PPO is also lower vs. CNCB: due to significantly higher custom clearance rates in TH (beauty products)

**To focus on improving TH profitability**, given that (1) MP PC2 + SLS is consistently negative; and (2) UE is worst vs. CNCB despite higher ABS

# #2: [KRJP] Profitability - TH Improvements - MP PC2: to achieve P&L to breakeven, MP side (1) Commission fee to increase; (2) PRM project to reduce, and exploring improvement potentials on ads takerate%

| Metrics | Apr'25 | Jun'25 | Simulation #1<br>a. add commission<br>b. PRM=Jul MTD | Simulation #2<br>a. add commission<br>b. PRM=Jul MTD<br>c. SLS discount |
|---|---|---|---|---|
| ABS | 22.6 | 22.7 | 22.7 | 22.7 |
| **Revenue (%)** | **14.8%** | **15.6%** | **18.4%** | **18.4%** |
| Commission Fee (%) | 8.6% | 1 9.0% | 11.8% | 11.8% |
| *Base Commission (%)* | *4.5%* | *4.9%* | 11.8% | 11.8% |
| *Charged Services (%)* | *4.1%* | *4.0%* | *0%* | *0%* |
| Paid Ads (%) | 3.2% | 3 3.2% | 3.2% | 3.2% |
| Marketing Packages (%) | 0.0% | 0.4% | 0.4% | 0.4% |
| Handling Fee (%) | 2.9% | 3.1% | 3.1% | 3.1% |
| **PRM (%)** | **14.4%** | **19.1%** | **17.4%** | **17.4%** |
| Item Rebate (%) | 0.3% | 0.2% | 0.2% | 0.2% |
| Logistics Rebate (%) | 0.3% | 0.6% | 1.3% | 1.3% |
| Voucher Rebate (%) | 13.1% | 2 17.5% | 16.0% | 16.0% |
| Coin Rebate (%) | 0.7% | 0.7% | 0.7% | 0.7% |
| **Gross Transaction fee (%)** | **1.4%** | **1.4%** | **1.4%** | **1.4%** |
| **MP PC2 (%)** | **-1.1%** | **-4.9%** | **-0.4%** | **-0.4%** |
| **MP PC2** | **-45,500** | **-234,169** | **-19,654** | **-19,654** |
| **SLS P&L** | **8,330** | 4 **38,174** | **38,174** | **105,242** |
| **MP PC2+SLS P&L** | **-37,170** | **-195,996** | **18,520** | **85,588** |
| **KRJP MP PC2 + SLS P&L / order** | -0.24 | -1.12 | 0.11 | 0.49 |
| **Ref: CNCB MP PC2 + SLS P&L / order** | 0.29 | 0.10 | 0.49 | 0.49 |
| *KR vs CNCB Gap* | -0.53 | -1.22 | -0.38 | 0.00 |

Suggested

**Key Highlights:**

Potentials Improvements on PnL

1. **[Confirmed]** Base Commission will increase from 9% to 11.8% given FSS/CCB compulsory, base commission +1% and 1THB/order infrastructure fee
2. **[Confirmed]** PRM will be less spending than Jun'25, est. 16%
3. **[Studying]** Paid Ads: ads takerate vs other mkts small, vs CNCB growth less
4. **[To decide]** SLS Discount: If MP PC2 is able to breakeven and reaching similar level as CNCB, despite SLS margin low at 12% vs other mkts, **propose not to adjust**

*>> details see next page*

# #2: [KRJP] Profitability - TH Improvements - SLS: Compared to other KR markets, TH's SLS profit margin is lower mainly due to higher customs clearance costs for beauty products

**Table: Jun'25 KR SLS P&L and UE**

| Overall CB | KR-SG | KR-PH | KR-MY | KR-VN | KR-TH | KR-BR | KR-MX | KR-TW |
|---|---|---|---|---|---|---|---|---|
| Avg weight per order (kg) | **0.389** | **0.318** | **0.420** | **0.261** | **0.299** | **0.237** | **0.263** | **0.496** |
| Avg ASF per order | **3.64** | **3.36** | **3.82** | **2.41** | **3.38** | **8.25** | **12.22** | **4.42** |
| Avg total cost per order | 2.60 | 2.39 | 2.22 | 2.00 | 3.02 | 7.01 | 6.26 | 3.14 |
| **P&L excl. VAT** | **29%** | **30%** | **42%** | **17%** | 1 **11%** | **15%** | **49%** | **29%** |
| **PPO** | **1.05** | **0.97** | **1.60** | **0.41** | **0.36** | **1.24** | **5.96** | **1.28** |
| ***Unit cost*** | | | | | | | | |
| warehouse cost/pc | 0.522 | 0.522 | 0.522 | 0.522 | 0.522 | 0.522 | 0.522 | 0.590 |
| SLS LH Cost/kg | 1.616 | 3.235 | 2.346 | 3.398 | 2 1.898 | 7.802 | 11.760 | 2.118 |
| SLS CC Cost/kg | - | - | - | - | 4.733 | - | - | 0.569 |
| SLS LM Cost/pc | 1.416 | 0.809 | 0.671 | 0.569 | 0.490 | 4.456 | 2.631 | 1.144 |
| SLS Other Cost/pc | 0.011 | 0.016 | 0.019 | 0.001 | 0.010 | 0.168 | - | 0.053 |

**Key Highlights:**

1. TH profit margin is at 11% much lower than rest of markets at 30%
2. This is mainly due to higher cost in CC cost as KR needs to pay vendors additional cost to clear beauty products

## #2: [KRJP] Profitability - TH Improvements - SLS:..., despite higher costs in Thailand, it's proposed not to increase SLS fees due to recent commission fee hikes and special duty taxes

| Options | Adjustments | SLS Margin | | P&L impact | Other Considerations |
|---|---|---|---|---|---|
| | | Profit Margin(%) | Profit/Outbound Order (usd/pc) | | |
| **Option #1** | No change to SLS profit margin | KRJP: 12%<br>CNCB: 40% | KRJP: 0.39 usd/pc<br>CNCB: 0.55 usd/pc | - | **Pros:** no order impact and lesser concerns in seller sentiment |
| **Option #2** | SLS profit margin to increase to **25%** | **KRJP: 25%**<br>CNCB: 40% | **KRJP:0.58 usd/pc**<br>CNCB: 0.55 usd/pc | **+67K monthly USD** | **Pros:** marginal SLS P&L improvements, ~2% of SLS THCB total profit<br>**Cons:** Bad Seller Sentiments:<br>● TH have **high value goods duties tax** which is borne by seller through escrow, and cost is unpredictable, seller already have bad sentiment in running TH markets<br>● TH Aug/Sep **will increase commission 2 times in a row** by adding 1% base commission, +1THB fixed fee, and make FSS/CCB compulsory, if to increase now, will further dampen sellers' interest |

**To decide: Option #1 is more suggested given recent fee increase, to monitor till Oct'24 see after commission increase whether TH MP PC2+SLS can breakeven**

# Agenda

- **KRJP P&L projection accuracy**
- **KRJP P&L profitability**
  - Negative P&L market Drill down
  - **SLS P&L margin across mkts review**

# #2: KRJP - SLS profitability - all mkts: since the UE (profit per order) contribution is comparable/better than CNCB due to high ABS nature, it's suggested not to adjust SLS margin for rest of mkts

**Table 1: Jun'25 KRJP vs CNCB UE comparison in MP PC2+SLS**

| Jun'25 Actuals | | SG | MY | TH | TW | VN | PH |
|---|---|---|---|---|---|---|---|
| KRJP CB | ABS | 23.0 | 24.8 | 22.7 | 43.7 | 11.6 | 20.5 |
| | MP PC2 / net order | 1.98 | 0.41 | -1.34 | 2.93 | 0.13 | -1.17 |
| | SLS / net order | 0.96 | 1.40 | 0.22 | 1.25 | 0.38 | 0.83 |
| | **MP PC2 + SLS / net order** | **2.94** | **1.82** | **-1.12** | **4.18** | **0.51** | **-0.34** |
| CNCB | ABS | 13.0 | 9.3 | 8.0 | 24.2 | 3.2 | 5.6 |
| | MP PC2 / net order | 1.49 | 0.29 | -0.17 | 2.50 | -0.29 | -0.21 |
| | SLS / net order | 0.68 | 0.57 | 0.27 | 0.68 | 0.26 | 0.53 |
| | **MP PC2 + SLS / net order** | **2.17** | **0.86** | **0.10** | **3.18** | **-0.03** | **0.31** |
| KRJP vs CNCB | ABS | 76% | 166% | 185% | 81% | 259% | 265% |
| | MP PC2 / net order | 0.49 | 0.12 | -1.17 | 0.43 | 0.41 | -0.96 |
| | SLS / net order | 0.28 | 0.84 | -0.05 | 0.57 | 0.12 | 0.30 |
| | **MP PC2 + SLS / net order** | 0.77 | 0.95 | -1.22 | 1.00 | 0.53 | -0.66 |

1

**Table 2: Jun'25 KRJP SLS profit comparison vs CNCB**

| BU | Metrics | SG | MY | TH | TW | VN | PH |
|---|---|---|---|---|---|---|---|
| KRJP | SLS profit margin% | 25% | 41% | 12% | 30% | 18% | 27% |
| | SLS UE/outbound order | 0.79 | 1.38 | 0.39 | 1.12 | 0.43 | 0.81 |
| CNCB | SLS profit margin% | 28% | 31% | 40% | 14% | 28% | 30% |
| | SLS UE/outbound order | 0.69 | 0.57 | 0.55 | 0.36 | 0.29 | 0.57 |
| KRJP vs CNCB | SLS profit margin% | -4% | 10% | -28% | 15% | -10% | -3% |
| | SLS UE/outbound order | 0.10 | 0.81 | -0.16 | 0.76 | 0.14 | 0.24 |

2

**Key Highlights:**

**Given KR nature of high ABS and heavier items**

1. **For overall UE and SLS UE vs CNCB:** KRJP is better than CNCB by **0.5~1** usd/order (except for TH)
2. Especially despite some markets has less SLS profit margin, KRJP SLS UE still higher than CNCB (except for TH)

# THE END